

MEMORANDUM

RE: Nigeria tariff policy, 2023-2025 — capital allocation implications across refined petroleum, automobiles, and rice/agriculture

DATE: July 2026

SOURCE: Condensed from the full case study, *Tariffs Without a Strategy* (paper/nigeria-tariff-policy-paper.md); full sourcing in data/raw/*/sources.md

Bottom line up front

Tariff rate is not a useful signal for where to allocate capital in Nigeria. **Ignore the tariff schedule and look instead for a single, well-capitalized domestic supply response already in motion** — that's the variable that has actually determined outcomes across the three sectors we examined. On that test: **petroleum is investable now, automobile assembly is not investable at current scale, and rice is a pass unless entering as the next Dangote-style consolidator rather than a fragmented miller.**

Sector	Tariff	Verdict	Why
Refined petroleum	~0.5% (effectively untaxed)	Investable	Real, fast import substitution already underway (85%+ refinery utilization, 42% drop in import bill in 2025); tariff policy is a lagging signal, not the driver
Automobiles	35-40%	Not investable at current structure	Heavy protection has not produced scale — 29.0% aggregate capacity utilization across 34 licensed assemblers, and the enabling law (NAIDP) still isn't legally binding after 12+ years

Rice/agriculture	70%	Pass, with one exception	Highest tariff, weakest enforcement result (rice is Nigeria's single most-smuggled commodity); only investable thesis is backing a large-scale consolidator that can survive on production economics without relying on the tariff wall holding
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What the data actually shows, sector by sector

Petroleum. Dangote Refinery reached an estimated 85% of its 650,000 bpd nameplate capacity by mid-2025, and Nigeria's petrol import bill fell 42% year-over-year as a result — from a currency-inflated N15.42tn peak in 2024 to N8.96tn in 2025. This happened with almost no tariff support: the one dedicated import duty of the period (15%, approved October 2025) was suspended three weeks later. The mechanism doing the real work is the NNPC-Dangote naira-for-crude supply arrangement, not trade policy. **Risk to flag:** that supply arrangement has already shown strain (a reported ~79.5 million-barrel shortfall between late 2025 and mid-2026, and an active Dangote lawsuit disputing import-license enforcement) — the substitution story is real but the institutional plumbing underneath it is not yet fully stable. Underwrite this as "genuine structural shift, immature governance," not as a settled outcome.

Automobiles. The tariff differential (0% for CKD kits, 10% for SKD, up to 40% for fully-built imports) is designed exactly like a working infant-industry policy — and it has not produced one. A primary NADDC document (April 2024) covering 34 licensed assemblers shows an aggregate 29.0% capacity utilization, with a wide spread: Innoson (the only wholly Nigerian-owned mass-market OEM) at 70%, against Mikano International at 6.5% and PAN Nigeria at 20%. Twenty of 58 historically licensed companies had suspended operations entirely by March 2025 (~\$89.6M in stranded investment). The structural reason to stay out: the policy framework itself has never had the force of law — the original NAIDP's statutory term lapsed in 2024, and as of October 2025 industry was still publicly demanding a "NAIDP Bill" that doesn't exist. **Capital deployed into assembly today is deployed into a policy that could be rewritten by**

executive order, not statute — the opposite of the durability petroleum's Dangote model has, where the asset's economics stand on their own regardless of tariff.

Rice/agriculture. The 70% tariff is the highest of the three sectors and the one earning the least trust. Nigeria remains a structural rice importer (production/import data implies roughly 70-76% self-sufficiency across 2022-2025, with meaningfully conflicting datasets on the trend direction), and rice was the single most-smuggled commodity through Nigerian Customs in Q1 2025 — ahead of petroleum products and narcotics. The 2019 land-border closure, still only partially reversed, has not stopped this. The one plausible entry point: Nigeria periodically opens narrow, high-eligibility-bar import windows (as in the July-December 2024 zero-duty window) and has reportedly begun channeling favorable treatment toward a small number of large operators (e.g., Imota Rice Mill, BUA Foods) rather than the fragmented mill base broadly. **If there is a rice thesis, it is "become the next favored large-scale operator," not "invest in the existing mill base and let the tariff protect you."**

Three things to watch, independent of sector

1. **AfCFTA is not yet a live constraint on Nigerian policy.** Nigeria only gazetted its AfCFTA tariff schedule in 2025, and no source identifies where petroleum or automobiles even sit on that schedule. For decisions on a 2023-2026 time horizon, treat Nigeria's unilateral tools (subsidy policy, import licensing, forex allocation, ad hoc duty waivers) as the dominant lever, not its AfCFTA commitments. That could change on a longer horizon as implementation matures.
2. **Currency, not tariff, is moving most of the naira-denominated figures in this research.** The naira depreciated 40.9% in 2024 alone. Any Nigeria-market analysis that reads a naira-value import spike or decline as a volume signal without adjusting for FX will overstate the effect of policy and understate the effect of currency.
3. **Watch enforcement capacity, not just policy announcements.** Nigeria has repeatedly announced strong measures (a 15% petroleum duty, a 4% auto FOB levy, a rice zero-duty window with strict eligibility) that were suspended, under-enforced, or contested within months. The credible signal is what survives six months after the announcement, not the announcement itself.

Full citations, data tables, and chart-generation code available in `data/raw/`, `data/processed/`, `outputs/`, and `models/`.